

EMPLOYEE PROVIDENT FUNDS (EPF)

Employee Provident Fund is a type of provident fund where the employees contribute 12% of their basic salary and dearness allowance towards the EPF during their working years and the same amount is matched by the employer. All this money goes to the Employees' Provident Fund Organisation (EPFO), which is an organization run by the government to manage EPF for individuals.

EPF offers fixed interest and works like typical fixed-income security. EPF offers 8.5% p.a. as of November 2020. However, the rate keeps on changing and one needs to check the updated interest rates before investing. Whenever one changes employment, the EPF must be shifted to the new employer. There are various restrictions on the withdrawal of EPF. Only after the age of 54, can a person withdraw 90% of their EPF savings. Also, there are provisions when one can withdraw in case of unemployment, marriage, medical emergency, etc. if they meet specific criteria.

SUITABILITY

EPF is specifically suited for salaried people and those working in the organized space. It is compulsory for the government employees to have an EPF enrolment, i.e. to have EPF contributions.

TAX TREATMENT

EPF can be withdrawn tax-free after 5 years of service at the same company. Also, EPF contributions are deductible under Section 80C within the limit of Rs. 1.5 lac.

